Advanced Assurance Workshop 4

Welcome to Class



Introduction

Expectations for the day

- Final AA workshop – ask questions throughout the day
- You should have completed Modules 10 – 12 on your own prior to class – all modules now complete!
- Have all materials on hand (including laptop, course materials, calculator, pen, etc)
- Active participation expected in class
- Professionalism
- No phones during class time

Timetable

- Class starts at 09:30 – please ensure you are in class and ready to start
- Class finishes by around 16:30
- You will also have a morning break, afternoon break and lunch

Introduction

Modules covered so far

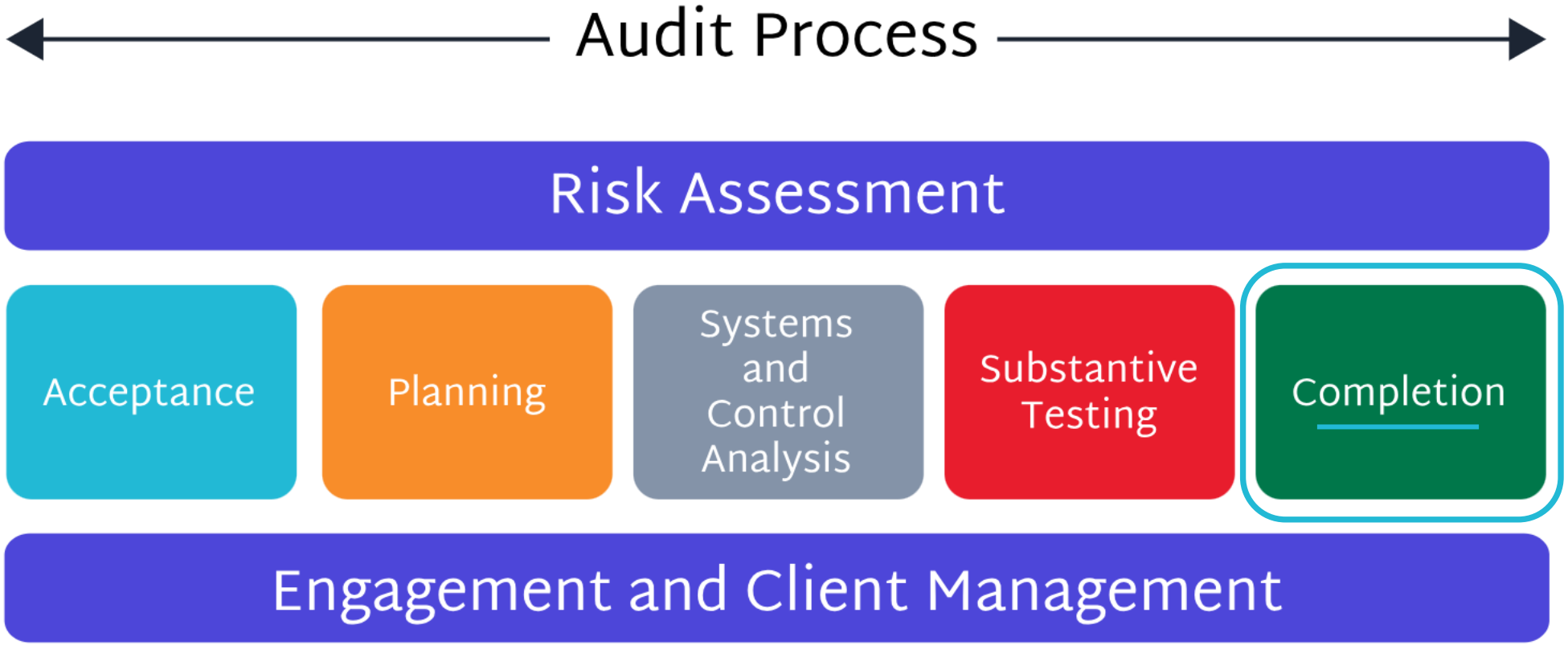
- Module 1: Professional Ethics
- Module 2: Evaluating Data Integrity
- Module 3: Audit Acceptance and continuance
- Module 4: Audit Planning
- Module 5: Specific Risk areas and the Impact on the Audit
- Module 6: Internal Controls Testing
- Module 7: Substantive Analytical Procedures
- Module 8 & 9: Substantive Procedures – Part 2 and 3

Modules covered in this workshop

- Module 10: Completion and Reporting
- Module 11: Group Audits
- Module 12: Other Assurance Engagements and Related Services

Module 10
Completion and Reporting

Stages of the audit



Recap of completion



It’s quiz time….

Thinking back to Module 10… Let’s test your knowledge

Question 1

QUESTION

Under the going concern assumption, an entity is ordinarily viewed as continuing in business for the foreseeable future. What time period does this relate to?

A) 12 months from the entity's year end

B) 24 months from the entity's year end

C) 12 months from the reporting date

D) 24 months from the commencement of the audit

Question 1

ANSWER

Under the going concern assumption, an entity is ordinarily viewed as continuing in business for the foreseeable future. What time period does this relate to?

A) 12 months from the entity's year end

B) 24 months from the entity's year end

C) 12 months from the reporting date

D) 24 months from the commencement of the audit

Due to this, the entity's going concern assessment must cover a minimum period of 12 months from the date of approval of the financial statements (the reporting date).

Question 2

QUESTION

Which of the following are examples of events of conditions that may cast significant doubt on the entity's ability to continue as a going concern?

A) Net liability or net current liability position

B) Emergence of a highly successful competitor

C) Changes in law or regulation or government policy are expected to adversely affect the entity

D) All of the above

Question 2

ANSWER

Which of the following is an example of an event or condition that may cast significant doubt on the entity's ability to continue as a going concern?

A) Net liability or net current liability position

B) Emergence of a highly successful competitor

C) Changes in law or regulation or government policy are expected to adversely affect the entity

D) All of the above

All of these are examples of events or conditions that may cast significant doubt on the entity's ability to continue as a going concern. A is a financial factor; B is an operating factor and C is an 'other' factor. A list of examples can be found in Module 10 Lesson 1.

Question 3

QUESTION

The following events took place in March 20X4. Which of these is an example of an **adjusting** subsequent event for the YE 31 December 20X3?

A) A merger with a major competitor

B) A flood in the entity's warehouse destroyed 20% of inventory

C) A trade receivable which had been experiencing financial difficulty went into liquidation

D) All of the above

Question 3

ANSWER

The following events took place in March 20X4. Which of these is an example of an **adjusting** subsequent event for the YE 31 December 20X3?

A) A merger with a major competitor

B) A flood in the entity's warehouse destroyed 20% of inventory

C) A trade receivable which had been experiencing financial difficulty went into liquidation

D) All of the above

Adjusting events provide evidence of conditions that existed at the period end. A trade receivable going into liquidation normally indicates that the customer was in financial difficulty at year end and should have been provided for.

Question 4

QUESTION

Which of the following statements regarding subsequent events is **true**?

A) The auditor must obtain sufficient appropriate evidence on whether events occurring between the date of the financial statements and the date of the auditor's report require adjustment in the financial statements, and are appropriately reflected

B) After the date of the audit report, the auditor must perform audit procedures on all events which arise to obtain sufficient appropriate evidence that these are appropriately adjusted in the financial statements

C) Both of these are true

Question 4

ANSWER

Which of the following statements regarding subsequent events is **true**?

A) The auditor must obtain sufficient appropriate evidence on whether events occurring between the date of the financial statements and the date of the auditor's report require adjustment in the financial statements, and are appropriately reflected

B) After the date of the audit report, the auditor must perform audit procedures on all events which arise to obtain sufficient appropriate evidence that these are appropriately adjusted in the financial statements

C) Both of these are true

B is false, as the auditor has no obligation to perform audit procedures after the date of the audit report.

Question 5

QUESTION

Which of the following are important elements for the auditor to perform at the completion stage?

A) Obtain written representations from management and TCWG to confirm certain matters or otherwise support other audit evidence.

B) Perform final analytical procedures to assess whether the financial statements are consistent with the auditor's understanding of the entity

C) Evaluation of evidence and misstatements

D) All of the above

Question 5

ANSWER

Which of the following are important elements for the auditor to perform at the completion stage?

A) Obtain written representations from management and TCWG to confirm certain matters or otherwise support other audit evidence.

B) Perform final analytical procedures to assess whether the financial statements are consistent with the auditor's understanding of the entity

C) Evaluation of evidence and misstatements

D) All of the above

All of these should be performed at the completion stage.

Question 6

QUESTION

Which of the following is an internal completion document?

A) Points forward schedule

B) Audit report

C) Audit opinion

D) All of the above

Question 6

ANSWER

Which of the following is an internal completion document?

A) Points forward schedule

B) Audit report

C) Audit opinion

D) All of the above

The audit report and audit opinion are external documents. Other internal completion documents are the audit highlights or summary review memorandum, and the accounts disclosure checklist.

Question 7

QUESTION

Management have refused to allow the auditor to attend the year-end inventory count, and alternative procedures cannot be performed. The inventory balance is £60,000. Overall materiality is £50,000.

Which type of audit opinion would be given in this scenario?

A) Unmodified opinion

B) Qualified opinion

C) Adverse opinion

D) Disclaimer of opinion

Question 7

ANSWER

Management have refused to allow the auditor to attend the year-end inventory count, and alternative procedures cannot be performed. The inventory balance is £60,000. Overall materiality is £50,000.

Which type of audit opinion would be given in this scenario?

A) Unmodified opinion

B) Qualified opinion

C) Adverse opinion

D) Disclaimer of opinion

The opinion should be qualified, as this represents a material limitation of scope, however it is isolated to one balance so is unlikely to be considered to be pervasive.

Question 8

QUESTION

Which of the following is an example of a matter that must be communicated to TCWG?

A) Reporting on any actual or suspected fraud identified

B) Significant findings from the audit

C) A description of deficiencies and an explanation of their potential effects

D) All of the above

Question 8

ANSWER

Which of the following is an example of a matter that must be communicated to TCWG?

A) Reporting on any actual or suspected fraud identified

B) Significant findings from the audit

C) A description of deficiencies and an explanation of their potential effects

D) All of the above

All of these are examples of matters that must be communicated to TCWG. Further examples can be found in module 10 lesson 6.

Going Concern

Financial statements are prepared on a going concern basis.

The auditor's objectives are to:

- Obtain sufficient appropriate audit evidence regarding, and conclude on:
  - Whether a material uncertainty relating to going concern exists; and
  - The appropriateness of management's use of the going concern assumption
- Report on going concern in line with ISA (UK) 570

The auditor begins the evaluation of going concern at the planning stages.

The auditor will remain alert throughout the audit process for any events or conditions that may impact the going concern status of the entity.

Going Concern

In performing risk assessment procedures, the auditor must consider:

- The entity and its environment, including its nature, objectives, strategies, and processes for measuring financial performance (e.g., cash flow)
- The applicable financial reporting framework and any specific reporting requirements around going concern
- The entity's system of internal control including the nature and extent of oversight that governance has over management's assessment of going concern
- The entity's risk assessment process and how its systems identify and capture events relating to assessment including processes to assess the significance of and address such risks.
- The entity's information system and related business processes relating to going concern, including how uncertainties are captured and assumptions and data used in management's going concern assessment

Going concern
Assessment approach

The assessment may require you to **undertake specific procedures** relating to the directors' going concern assessment. For example:

- **Advise the directors** on how to undertake a going concern assessment
- **Describe how the auditor should evaluate** a going concern assessment
- Identify factors within a scenario that would **cause the auditor to question the going concern status** of an entity and propose additional audit procedures to be performed in response to these factors
- Evaluate the **assumptions used by the client** as part of their going concern assessment and identify further evidence required to assess the going concern assumption
- Evaluate the **impact of conclusions** concerning the going concern assumption on the audit report and audit opinion

Group Activity

Going Concern - Dainty Dentures Ltd

See question in Workshop 4 Materials

Going concern

AA Workshop 4



Going Concern Cash Flows

- Evaluate the **assumptions used by the client** as part of their going concern assessment and identify further evidence required to assess the going concern assumption
- Break each element of the forecast down and consider each in turn.
- Look at the financials, do the values show an increase or decrease (The fact – 1 mark)
- Evaluate the information provided by management. Does this align with the movement in values (The implication - 2 marks)
- Conclude that the values match the explanation or
- Recommend further audit evidence that is required (Recommendation – 2 marks)

Going Concern CF
Gowrie: Question 1

Analyse the cashflow forecasts provided in Appendix 1 and evaluate the reasonableness of the assumptions and information given in Appendix 2 **(24 marks)**.

Tutor Debrief

GC CF Q1 Debrief

Analyse the cashflow forecasts provided in Appendix 1 and evaluate the reasonableness of the assumptions and information given in Appendix 2

- Does the movement in the CF agree with the other information you have been provided (notes and scenario introduction)?
- If the information does align, state that it does. You do not need to analysis further (see new term loan and direct materials points in solution).
- If the information does not align, explain what looks wrong. Does the assumption seem overly ambitious/unrealistic/inaccurate?
- Make sure to write enough to pick up all of the marks available
- Table format helpful here for linked requirements

Going Concern CF
Gowrie: Question 2

Explain the further specific audit evidence required to ensure appropriate assurance over any specific concerns you have identified in Question 1, relating to management's going concern assumption **(16 marks)**. *[No marks available for general going concern procedures.]*

GC CF Q2 Tips

- Best practice for writing test of details can also be applied to gather further specific audit evidence
  - ✓Testing verb
  - ✓Population
  - ✓Evidence
  - ✓Activity
- Read wording of requirement carefully – you need to resolve specific concerns from Q1, so if you previously considered an assumption to be appropriate then no need to gather further specific audit evidence
- Two column table would work nicely here

Tutor Debrief

GC – general procedures / standard tests

ISA (UK) 570 12-2

12-2. The auditor shall perform audit procedures that include: (Ref: Para. A8–A10-1, A11-1–A12)

(a) Evaluating management's method to assess the entity's ability to continue as a going concern, including determining if:

(i) The method selected is appropriate in the context of the applicable financial reporting framework and the auditor's understanding of the entity; (Ref: Para. A8-4)

(ii) Changes from the method used in prior periods are appropriate; and

(iii) Whether the calculations are applied in accordance with the method and are mathematically accurate.

(b) Evaluating the relevance and reliability of the underlying data used to make the assessment; (Ref: Para. A8-5–A8-6)

(c) Evaluating the assumptions on which management's assessment is based by determining whether there is adequate support for the assumptions underlying management's assessment. This shall include determining: (Ref: Para. A8-7–A8-9)

(i) Whether the assumptions are appropriate in the context of the applicable financial reporting framework, and if applicable, changes from prior periods are appropriate; and

(ii) Whether the assumptions are consistent with each other and with related assumptions used in other areas of the entity's business activities, based on the auditor's knowledge obtained in the audit.

(d) Evaluating management's plans for future actions in relation to its going concern assessment, including determining whether the outcome of these plans is likely to improve the situation and whether management's plans are feasible in the circumstances. (Ref: Para. A8-10–A8-12)

(e) Considering whether any additional facts or information have become available since the date on which management made its assessment.

(f) Requesting written representations from management and, where appropriate, those charged with governance, regarding their plans for future actions and the feasibility of these plans. (Ref: Para. A9-1)

Subsequent events
Types of events

Subsequent events are events that occur **after the date of the financial statements**.

Adjusting events	Non-adjusting events
These provide evidence of conditions that existed at the period's end. They require adjustments to the amounts included in the financial statements.	These provide evidence of conditions that arose after the period end. They do not result in adjustments to the amounts included in the financial statements. They will be disclosed in the notes to the accounts if they are judged to be sufficiently material (ie non-disclosure could influence the decisions taken by users on the basis of the financial statements).

Subsequent events
Auditor's responsibilities

There are two key periods following the audit when subsequent events should be considered:



Subsequent events
Auditor's responsibilities

Period 1 – Events occurring up to the date of the audit report

- Auditors should perform additional substantive procedures designed to obtain sufficient appropriate audit evidence to ensure that they have identified all events up to the date of the audit report which may require adjustment or disclosure to ensure the financial statements are not materially misstated.

Period 2 – After the date of the audit report

- The auditor has no obligation to perform audit procedures after the date of the audit report
- However, if a fact becomes known to the auditor after that date which would have caused the auditor to amend the audit report, the auditor will discuss the issue with management, determine whether an amendment to the financial statements is required and enquire how management intends to address the matter.
- If the financial statements are amended, the auditor must audit these adjustments.

Group Activity

Subsequent events – Fairview Bank

AA Workshop 4



Subsequent events
Fairview Bank Ltd

You are the audit manager on the audit of the financial statements of Fairview Bank Ltd ('Fairview') for the year ended 31 March 2X19. Following completion of the year-end audit fieldwork, you are reviewing the list of subsequent events prepared by Fairview's finance director.

Fairview is a small independent retail bank and investment house, whose customers comprise small to medium size companies and high-earning professional individuals. The bank operates from a branch in Birmingham, but attracts worldwide clients. It has full banking licences and has been trading successfully for five years.

Your audit partner has reviewed the list of subsequent events and has added additional comments as necessary (Appendix 1). She has asked you evaluate whether or not these are adjusting events and to consider what additional audit evidence, if any, would be required for each of these matters. She has also asked you to analyse the impact on the audit report, should the additional audit evidence not be obtained and to recommend the appropriate type of audit opinion to be issued.

Subsequent events
Fairview Bank Ltd

1. **Evaluate the subsequent event, concluding whether or not it would be an adjusting event**

- What is the subsequent event? Did the conditions which gave rise to it occur during the year?
- Therefore, is this an ADJUSTING or NON-ADJUSTING event?
- What is the impact to the financial statements? E.g. is a balance currently over or understated?

2. **Consider what, if any, additional audit evidence would be required**

- Best practice for writing test of details can also be applied to gather additional audit evidence

We will consider Q3 later

Subsequent events
Event 1: Post year-end takeover

Note: Materiality has been set at £2.2 million and trivial threshold at £110,000 for audit purposes

On 10 June 2X19, the board announced that it had completed a takeover of Hi-Bank Investments ('Hi-Bank'), a credit union based in the Scottish Highlands. The board first discussed the takeover in May, and takeover talks were completed on 10 June 2X19.

Audit partner comments:

There was no previous indication of this potential deal during the year-end audit. We have reviewed the recent year-end financial statements for Hi-Bank. The post takeover assets of Fairview will increase by 70%.

Subsequent events
Event 1: Post year-end takeover

Q1 Evaluate the subsequent event, concluding whether or not it would be an adjusting event	Q2 Consider what, if any, additional audit evidence would be required
○ *What is the subsequent event? Did the conditions which gave rise to it occur during the year?* ○ *Therefore, is this an ADJUSTING or NON-ADJUSTING event?* ○ *What is the impact to the financial statements? E.g. is a balance currently over or understated?*	○ *If further audit evidence is required, write two tests which would help obtain this evidence*

Subsequent events
Event 1: Post year-end takeover ANSWER

Q1 Evaluate the subsequent event, concluding whether or not it would be an adjusting event	Q2 Consider what, if any, additional audit evidence would be required
○ *What is the subsequent event?* **As the acquisition took place after the year end this would not have an impact on the 31 March 2X19 financial statements** ○ *Therefore, is this an ADJUSTING or NON-ADJUSTING event?* **This would be considered a non-adjusting event.** ○ *What is the impact to the financial statements?* **However, given the significance of the transaction, it is likely that a disclosure will be required in the financial statements.**	○ *If further audit evidence is required, write two tests which would help obtain this evidence* **Inspect any takeover documentation including board minutes and lawyer correspondence with Hi-Bank Investments ('Hi-Bank') to confirm acquisition is post year end.** **Inspect the proposed financial terms and consider its level in comparison to the materiality of the financial statements.**

Subsequent events
Event 2: Staff bonus accrual

Note: Materiality has been set at £2.2 million and trivial threshold at £110,000 for audit purposes

The year-end staff bonus accrual of £1 million included in the year-end financial statements was calculated based on the budgeted results for the financial year-end. Actual bonuses of £1.25 million have now been agreed by the board and paid to staff. Following the successful performance of the bank, the bonuses paid were greater than those accrued.

The board feels there will be little benefit in reflecting the actual paid figure in the year-end financial statements and would like to maintain the accrued balance at 31 March 2X19 which was based on budgeted results.

Audit partner comments:

We must assess the value of the bonuses paid and assess the level compared to the accrual made.

Subsequent events
Event 2: Staff bonus accrual

Q1 Evaluate the subsequent event, concluding whether or not it would be an adjusting event	Q2 Consider what, if any, additional audit evidence would be required
○ *What is the subsequent event? Did the conditions which gave rise to it occur during the year?* ○ *Therefore, is this an ADJUSTING or NON-ADJUSTING event?* ○ *What is the impact to the financial statements? E.g. is a balance currently over or understated?*	○ *If further audit evidence is required, write two tests which would help obtain this evidence*

Subsequent events
Event 2: Staff bonus accrual ANSWER

Q1 Evaluate the subsequent event, concluding whether or not it would be an adjusting event	Q2 Consider what, if any, additional audit evidence would be required
○ *What is the subsequent event?* **The liability for bonuses, and therefore the need to estimate the accrual and to update it for an increased level of staff bonuses, was in existence at the year end.** ○ *Therefore, is this an ADJUSTING or NON-ADJUSTING event?* **This would, therefore, be considered an adjusting event** ○ *What is the impact to the financial statements?* **The level of the change in provision from £1 million to £1.25 million is not material to the financial statements, so the provision is not materially understated.**	○ *If further audit evidence is required, write two tests which would help obtain this evidence* **Review FB's bonus criteria and recalculate to gain assurance on the level of bonus being awarded and compare to the year-end accrual.** **Inspect the board minutes to ensure bonuses awarded have been minuted and approved as payable and agree bonuses awarded to payroll records as paid post year end.**

Subsequent events
Event 3: Financial Conduct Authority investigation

Note: Materiality has been set at £2.2 million and trivial threshold at £110,000 for audit purposes

The Financial Conduct Authority ('FCA') commenced an investigation of Fairview in October 2X17. The investigation stemmed from complaints to the regulatory authorities of 'overly robust selling techniques' for loans to a specialised area of the bank's customers.

For the financial year-end 31 March 2X18, a preliminary accrual was made of £2.75 million which represented £1.8 million for fines and £0.95 million for anticipated compensation costs.

With the full cooperation of Fairview staff, the investigation was recently concluded and the FCA issued a report of their findings on 1 June 2019. Fairview accept the allegations and will be fined by the FCA and will have to pay compensation to each customer affected. The FCA report estimates the total costs that Fairview will have to pay will be in the region of £5 million.

Audit partner comments:

From discussions with the board, it is keen not to increase this provision. With the conclusion of the FCA investigation and report now published it is time to finalise figures. Whilst the amounts being considered are considerable, it will not be significant enough to affect the going concern of the business.

Subsequent events
Event 3: Financial Conduct Authority investigation

Q1 Evaluate the subsequent event, concluding whether or not it would be an adjusting event	Q2 Consider what, if any, additional audit evidence would be required
○ *What is the subsequent event? Did the conditions which gave rise to it occur during the year?* ○ *Therefore, is this an ADJUSTING or NON-ADJUSTING event?* ○ *What is the impact to the financial statements? E.g. is a balance currently over or understated?*	○ *If further audit evidence is required, write two tests which would help obtain this evidence*

Subsequent events
Event 3: Financial Conduct Authority investigation

Q1 Evaluate the subsequent event, concluding whether or not it would be an adjusting event	Q2 Consider what, if any, additional audit evidence would be required
○ *What is the subsequent event?* **The investigation commenced during the 2X17-18 financial year. The FCA investigation is now complete, and a report issued post year end includes the revised compensation penalty. Therefore, as this is a clarification of a pre-year end event.** ○ *Therefore, is this an ADJUSTING or NON-ADJUSTING event?* **This would be considered an adjusting event.** ○ *What is the impact to the financial statements?* **The provision of £2.75 million is understated by £2.25 million.**	○ *If further audit evidence is required, write two tests which would help obtain this evidence* **Inspect report and other correspondence from the FCA detailing findings, proposed fines and compensation payments to be made to customers.** **Inspect correspondence with FB lawyers re the level of fees due to determine whether a sufficient amount has been accrued.**

Subsequent events
Event 4: ESG – ethical banking

Note: Materiality has been set at £2.2 million and trivial threshold at £110,000 for audit purposes

Fairview has recognised that its current and potential customers are concerned with the bank's ethical policy on trading and its contribution to the wider community. Post year-end, the board of directors ('the board') engaged an external consultant to examine Fairview's current ESG practices and suggest changes that it should implement. This report was not available during the year-end audit but became available this week.

Fairview have added these suggestions to their sustainability report within the annual report.

Audit partner comments:

We must consider the consistency of information presented in the financial statements and other sections of the annual report.

Subsequent events
Event 4: ESG – ethical banking

Q1 Evaluate the subsequent event, concluding whether or not it would be an adjusting event	Q2 Consider what, if any, additional audit evidence would be required
○ *What is the subsequent event? Did the conditions which gave rise to it occur during the year?* ○ *Therefore, is this an ADJUSTING or NON-ADJUSTING event?* ○ *What is the impact to the financial statements? E.g. is a balance currently over or understated?*	○ *If further audit evidence is required, write two tests which would help obtain this evidence*

Subsequent events
Event 4: ESG – ethical banking ANSWER

Q1 Evaluate the subsequent event, concluding whether or not it would be an adjusting event	Q2 Consider what, if any, additional audit evidence would be required
○ *What is the subsequent event?* **Following the post year-end report regarding ESG, the board of directors ('the board') of FB has incorporated its suggestions into the ESG report contained in the 31 March 2X19 financial statements.** ○ *Therefore, is this an ADJUSTING or NON-ADJUSTING event?* **This is not an adjusting event** ○ *What is the impact to the financial statements?* **Further audit work will be required on the ESG report to ensure that the responsibilities under ISA (UK) 720 *The auditor's responsibility relating to other information* are fulfilled.**	○ *If further audit evidence is required, write two tests which would help obtain this evidence* **Inspect the information contained within the revised ESG report and ensure that it is consistent with our understanding of the bank's ESG practices during the period to 31 March 2X19 and the information reported in the financial statements.**

Audit opinion and audit report
Types of audit opinion

Reference: ISA (UK) 705 A1

	Auditor's judgement about the pervasiveness of the effects or possible effects on the financial statements	
Nature of matter giving rise to modification	**Material but not pervasive**	**Material and pervasive**
1. Financial statements are **materially misstated**	Qualified opinion[1]	Adverse opinion
2. **Inability** to obtain sufficient appropriate audit evidence	Qualified opinion[1]	Disclaimer of opinion

[1]A qualified opinion is often referred to as a “qualified ‘except for’ opinion”, as the financial statements show a true and fair view ‘except for’ a certain matter.

This is the terminology which will be used in your assessment.

Audit opinion and audit report
When is a matter pervasive?

An item is considered pervasive if the effects of the matter:

- Are **not confined** to specific elements, accounts or items of the financial statements. For this reason, issues regarding going concern, management integrity or fraud are often considered to be pervasive.

- Represent a **substantial proportion** of the financial statements. The value of a “substantial proportion” is not defined in ISA (UK) 705, but for the purpose of an assessment question this would be a high proportion of profit or the balance sheet total

- In relation to disclosures, are **fundamental** to users’ understanding of the financial statements.

Audit opinion and audit report
When is a matter pervasive?

You are the auditor of Paddington Ltd (Paddington) for the year ended 31 October 20X5. As part of the audit of trade receivables you have been reviewing the aged debt analysis to ensure the reasonableness of Paddington's allowance for doubtful dents. Trade receivables are a significant balance in the accounts, amounting to £26.5m. The directors are insisting on an allowance of 5% but you assess that an allowance of £9.8m is necessary. The profit after income taxes (and after deducting the current 5% provision) is £5.5m.

How should this matter be treated in the audit report?

Audit opinion and audit report
When is a matter pervasive?

This is a pervasive material misstatement.

The required adjustment to the allowance for doubtful debts of £8.475m (£9.8m less the current 5% allowance of £1.325m) is larger than the current £5.5m profit. This is therefore a pervasive material misstatement in the financial statements.

An adverse opinion should be given as the financial statements do not give a true and fair view.

Audit opinion and audit report
When is a matter pervasive?

The following matters are material, but not pervasive. True or False.

1. A fire at a head office which has destroyed the records for trade receivables. At the year end the company has trade receivables of £200,000, net assets of £2m and a profit for the year of £1.5m. Materiality is £125,000.

2. The auditor has detected a £100 error in the directors' remuneration report.

3. A major customer has gone out of business and accounted for 95% of the company's turnover.

Audit opinion and audit report
When is a matter pervasive?

The following matters are material, but not pervasive. True or False.

1. A fire at a head office which has destroyed the records for trade receivables. At the year end the company has trade receivables of £200,000, net assets of £2m and a profit for the year of £1.5m. Materiality is £125,000. – **True. This is material, as the balance makes up 10% of net assets and 13% of profits, however, at this size, it is not deemed pervasive.**

2. The auditor has detected a £100 error in the directors' remuneration report. - **Clearly trivial and would not be material to the users.**

3. A major customer has gone out of business and accounted for 95% of the company's turnover. – **Material and pervasive.**

Audit opinion and audit report
Emphasis of matter

- The **auditor's report** may also be modified **without a modification to the audit opinion**, by the inclusion of an 'emphasis of matter' paragraph.
- **Emphasis of matter paragraph** - draws users' attention to a matter that is of such importance that it is fundamental to users' understanding of the financial statements.
- It refers to matters that are appropriately presented or disclosed in the notes to the financial statements.
- An emphasis of matter paragraph does not require a modified audit opinion.

Audit opinion and audit report
Other matters

- Another possible **modification to the audit report** that does **not result in a modified audit opinion** is an ‘other matters’ paragraph.

- **Other matters paragraph** - refers to a matter other than those presented or disclosed in the financial statements that, in the auditor’s judgement, is relevant to users’ understanding of the audit, the auditor’s responsibilities or the auditor’s report.

- The other matters paragraph should be included in a separate section of the auditor's report.

- An other matters paragraph does not require a modified audit opinion.

Audit opinion and audit report
Impact of going concern issues on audit report

- The auditor will include a statement within a '**Conclusions relating to going concern**' section in the audit report regarding the going concern basis applied by the directors and the assessment they have made.
- This will conclude on:
  a. Whether the going concern assumption is **appropriate**;
  b. Whether there are any **material uncertainties** requiring to be reported by the directors.
- If adequate disclosure is made regarding the material uncertainty, the auditor shall express an unmodified opinion.
- If adequate disclosure is not made, the auditor shall express a qualified or adverse opinion, depending on the severity of the inadequacy.

Audit opinion and audit report
Impact of going concern issues on audit report

Conclusions relating to going concern

Conclusions from audit evidence	Impact on audit report
Going concern basis is **appropriate**	**Unmodified** opinion and report. Statement confirming no matters to report.
Inability to obtain sufficient, appropriate audit evidence	**Disclaimer** of opinion.
Going concern basis is appropriate, but **material uncertainty** exists – **disclosure appropriate**	**Unmodified** opinion, details of uncertainty within **going concern section** of audit report.
Going concern basis is appropriate, but **material uncertainty exists – disclosure inadequate**	Qualified/ Adverse opinion
Going concern is **inappropriate**	**Adverse** opinion

Audit opinion and audit report
Other information in annual report

- ISA (UK) 720 *The Auditor's Responsibilities Relating to Other Information* requires the auditor to read all other information presented to the shareholders and request that management resolve any discrepancies with the audited financial statements or inconsistencies with the auditor's understanding of the entity, if they are encountered.

- The auditor will look for **material inconsistencies** between the other information and the FS:

  a. If the material inconsistency is in the **financial statements** and this is not corrected by the directors, the auditor will issue a **modified audit opinion**.

  b. If it is the **other information** that is misstated or inconsistent with the audited information and the matter is not resolved or amended by the directors, the **audit opinion will NOT be modified**. Instead, the auditor will modify the audit report by including a description of the inconsistency in the **other information section**.

Audit opinion and audit report
Assessment approach

A scenario may include you in the role of the external audit manager. The fieldwork has been completed but some issues have arisen, and you have been asked to write notes to be presented to the directors on the possible modifications to the audit opinion or audit report that may be made.

The solution would expect an outline of:

- The type of amendment to the audit opinion and/ or audit report (amended opinion or additional paragraphs) and analysis to support that conclusion (circumstances, material/ pervasive/ uncertainty, etc)
- Explanation of any other sections of the audit report requiring disclosure or amendment

In assessment questions, there is unlikely to be a single answer concerning the nature of the opinion that should be given. It is far more likely that you will be required to discuss the outcomes and various opinions depending on the information within the scenario and the actions of the relevant parties

Impact on audit opinion/audit report – Fairview Bank

Assessment Approach
Audit opinion questions

Is there an impact on the audit opinion?

	Auditor's judgement about the pervasiveness of the effects or possible effects on the financial statements	
Nature of matter giving rise to modification 3	**Material but not pervasive** 1	**Material and pervasive** 2
1. Financial statements are **materially misstated**	Qualified opinion	Adverse opinion
2. **Inability** to obtain sufficient appropriate audit evidence	Qualified opinion 4	Disclaimer of opinion

1. *Is it material? Why?*
2. *Is it pervasive? Why?*
3. *What is the nature?*
4. *Therefore, what type of opinion would you issue?*

Is there a wider impact on the audit report?

e.g. emphasis of matter paragraph, other matters paragraph, conclusions relating to going concern, other information

Audit Opinion Debrief

Some tricky issues:

1. Post year-end takeover – a material misstatement of the financial statements may arise in relation to the appropriateness or adequacy of disclosures

Material? Y	**Pervasive? Y**	**Material misstatement**	**Adverse opinion**

2. Staff bonus accrual – not matter, therefore no modification to the audit opinion or audit report

Material? N	**N/A**	**N/A**	**No modification**

3. FCA investigation – material but not pervasive

Material? Y	**Pervasive? N**	**Material misstatement**	**Qualified "except for" opinion**

4. ESG report – possible misstatement in "other information" rather than within the financial statements. Therefore, no impact on the audit opinion.

Marked Question Debrief

Module 11
Group Audits

Group audit

- Group audits are audits of financial statements that include the **financial information of more than one entity or business unit.**
- The group engagement partner is **solely responsible** for expressing an opinion on the group financial statements.
- The group auditor needs to determine whether they **can obtain audit evidence in relation to the consolidation process and the financial information of the components**. To be able to do this, the group audit team needs to understand the group, its components and their environments.
- The group auditor establishes the **overall group audit strategy and group audit plan**.

Group audit
Responding to the assessed risks of material misstatement

The group auditor may:

1. Perform further audit procedures centrally
2. Perform further audit procedures at the component level
3. Perform further audit procedures on a large number of components whose financial information is individually immaterial but material in aggregate to the group financial statements

Group audit
Consolidation process / controls

Phase	Objectives
Phase 1: Collection of data	• Ensure that staff undertaking the consolidation process are suitably trained • Data is collected from correct set of subsidiaries to ensure completeness of the financial information • Data received is accurate and complete, is received on a timely basis, including relevant disclosures, and is in a format appropriate for the consolidation to be performed • Individual returns comply with group accounting policies • Late adjustments are reflected in the group financial statements
Phase 2: Amalgamation of data	• Only complete consolidation returns are amalgamated, none are excluded completely • All data is calculated accurately
Phase 3: Posting consolidation adjustments	• All consolidation adjustments required are made, with no duplication • All consolidation adjustments are made accurately • All consolidation adjustments are calculated in accordance with the relevant accounting standard/company law
Phase 4: Reporting	• Ensure consolidated accounts are complete • Ensure consolidated accounts are accurate • Required disclosures have been included

Group audit controls – Question
SJK Group

Tutor Debrief
SJK Group – 30 marks

Weakness	Implication	Recommended Improvement
1 mark	2 marks	2 marks

Module 12
Other Assurance Engagements and Related Services

Group Activity

Other assurance engagements

AA Workshop 4



Review of interim financial information

Prospective financial information

Agreed-upon procedures

Compilation engagements

Forensic audit & due diligence

Public sector & charity

Other Assurance Engagements and Related Services



It’s quiz time….

Thinking back to Module 12… Let’s test your knowledge

Question 1

QUESTION

A half-yearly review of the interim financial statements, is an example of a _____ as it provides a lower level of assurance that the information subject to review is free of material misstatement.

A) Reasonable assurance engagement

B) Limited assurance engagement

Question 1

SOLUTION

A half-yearly review of the interim financial statements is an example of a **limited assurance engagement** as it provides a lower level of assurance that the information subject to review is free of material misstatement.

A) Reasonable assurance engagement

B**) Limited assurance engagement**

Question 2

QUESTION

Identify which TWO of the following statements are CORRECT:

A) Reasonable assurance provides absolute assurance that information is 100% accurate

B) A reasonable assurance opinion is expressed in the positive form

C) Limited assurance is often given when the level of risk in an engagement is lower

D) A statutory financial statement audit will provide reasonable assurance

Question 2

SOLUTION

Identify which TWO of the following statements are CORRECT:

A) Reasonable assurance provides absolute assurance that information is 100% accurate

B) A reasonable assurance opinion is expressed in the positive form

C) Limited assurance is often given when the level of risk in an engagement is lower

D) A statutory financial statement audit will provide reasonable assurance

Statements B and D are correct. Reasonable assurance provides a high but not absolute level of assurance. Limited assurance will likely be given when the level of risk is higher.

Question 3

QUESTION

Identify which ONE of the following statements is CORRECT when communicating a significant control deficiency found in the course of an interim audit:

A) Communication should be made on a timely basis

B) Communication should be made once all significant weaknesses have been identified and collated

C) Communication should be made at the beginning of the final audit

D) Communication should be made when the audit has been completed

Question 3

SOLUTION

Identify which ONE of the following statements is CORRECT when communicating a significant control deficiency found in the course of an interim audit:

A) Communication should be made on a timely basis

B) Communication should be made once all significant weaknesses have been identified and collated

C) Communication should be made at the beginning of the final audit

D) Communication should be made when the audit has been completed

The correct answer is A. Significant control deficiencies should be communicated on a timely basis to allow the client to take steps to address them and hopefully mitigate risk more effectively in future.

Question 4

QUESTION

A local council has issued a £22,500 grant to a children's organisation. The terms of the grant stipulate that it must be spent on sports activity courses for children with additional needs and that the children's organisation is required to provide independent assurance of this. The children's organisation has asked your firm to provide a report stating that the money has been spent in accordance with the stipulations of the grant.

identify the type of assurance required.

A) Compilation engagement

B) Reasonable assurance engagement

C) An engagement to provide assurance on prospective financial information

Question 4

SOLUTION

A local council has issued a £22,500 grant to a children's organisation. The terms of the grant stipulate that it must be spent on sports activity courses for children with additional needs and that the children's organisation is required to provide independent assurance of this. The children's organisation has asked your firm to provide a report stating that the money has been spent in accordance with the stipulations of the grant.

identify the type of assurance required.

A) Compilation engagement

B) Reasonable assurance engagement

C) An engagement to provide assurance on prospective financial information

Question 5

QUESTION

In a limited assurance engagement, which evidence gathering techniques would the auditor primarily use?

A) Enquiry
B) Inspection
C) Reperformance
D) Analytical procedures

Question 5

SOLUTION

In a limited assurance engagement, which evidence gathering techniques would the auditor primarily use?

A) **Enquiry**
B) Inspection
C) Reperformance
D) **Analytical procedures**

Question 6

QUESTION

What is a key benefit of an ‘independent examination’ of a charity’s accounts?

A) It is intentionally less onerous than a full audit
B) It provides a higher degree of reliability to the trustees
C) It is performed by auditors with specific training in charitable entities
D) All of these are key benefits

Question 6

SOLUTION

What is a key benefit of an ‘independent examination’ of a charity’s accounts?

A) It is intentionally less onerous than a full audit
B) It provides a higher degree of reliability to the trustees
C) It is performed by auditors with specific training in charitable entities
D) All of these are key benefits

Question 7

QUESTION

The investigation of fraud is an example of what kind of engagement?

A) Agreed-upon procedures
B) Forensic audit
C) Public sector engagement
D) Statutory audit

Question 7

SOLUTION

The investigation of fraud is an example of what kind of engagement?

A) Agreed-upon procedures
B) Forensic audit
C) Public sector engagement
D) Statutory audit

Review of interim financial information

- All listed companies must make public a half-yearly report.
- Companies can choose to have this reviewed.
- **Limited assurance** engagement - opinion expressed in ‘negative’ form
- **Less work, less costly** for client

The key stages of a review of interim financial information are:

- **Planning** - the external auditor would have obtained an understanding of the entity and its environment, including its internal control. In planning a review of interim financial information, the auditor updates this understanding
- **Evidence** - primarily obtained by enquiry and analytical procedures
- **Completion** – the auditor will evaluate results of procedures performed, including any uncorrected misstatements, and will form a conclusion
- **Reporting** – report should clearly state that the review is not an audit and the auditor is not expressing an audit opinion

Assurance on PFI

- PFI is any financial information that is based on **assumptions** about events that will happen in the future.
- It can be in the form of a **forecast or projection** or a combination of both
- More common to be **limited assurance** engagement (opinion in negative form) due to subjectivity of PFI
- Auditor's risk is higher if period covered is longer

Procedures will include examining:

- The likelihood of material misstatement
- The knowledge obtained during any previous engagements
- Management's competence regarding the preparation of prospective financial information
- The adequacy and reliability of the underlying data
- The extent to which the prospective financial information is affected by the management's judgement and reasonableness of assumptions
- Correct application of assumptions in preparation of prospective financial information
- Disclosure of assumptions (i.e. whether best estimates or hypothetical)
- Consistency of accounting principles and practices used in historical financial information in preparation of prospective financial information
- Obtaining written representation

Agreed-upon procedures

- Procedures to be performed are specified in the engagement letter. The practitioner performs these procedures and reports **factual findings** and results to the user.
- It is the user's responsibility to interpret these findings to draw their own conclusions and opinion. The practitioner reports on the agreed-upon procedures and findings objectively in terms that are clear, not misleading and not subject to varying interpretations.
- They **do not express any type of opinion** or conclusion on the result
- This is NOT an assurance engagement – this is an engagement where the practitioner performs services without providing assurance

Compilation engagements

- Involves compiling financial information, such as preparation of financial statements. **No type of opinion or conclusion** is expressed.
- A compilation engagement would commonly include the preparation of financial statements but may also include the collection, classification and summarisation of other financial information.
- This is NOT an assurance engagement – this is an engagement where the practitioner performs services without providing assurance

Forensic audit and due diligence engagements

Forensic audit

- Relates to the application of auditing skills to situations that have legal consequences, such as the investigation of fraud or suspected fraud
- The auditor may be engaged to assess risks, test controls and identify weaknesses in those controls.

Due diligence engagements

- Commonly performed where one company is planning to take over another

Examples of procedures include:

- The legal investigation of contracts and obligations
- Investigation of tax affairs or potential exposure
- An assessment of business operations
- A review of financial information

Public sector and charity engagements

Charity

- OSCR requires charity's accounts to be externally scrutinised
- Many charities can elect to submit an 'independent examination' of their accounts, which is intentionally less onerous than a full audit
- An independent examination looks at a charity's accounting records and annual accounts and considers whether the accounts are a fair reflection of the underlying records.
- It provides a degree of comfort to the reader that the figures in the accounts and the Trustees' Annual Report present an accurate picture of the financial activity of the charity for the accounting period

Public sector

- Includes work related to grants
- Such work may be part of the scope of the public sector audit or may be a separate engagement
- An example is Housing Benefit (HB) - consider administration and claim

Module 12

Sustainability



Sustainability
Sustainability reporting

- Businesses are increasingly publishing information on their **economic**, **social** and **environmental** impact

- This may be in the form of:
  - An environment, social and governance report included as part of the annual report or published separately
  - A sustainability report included as part of the annual report or published separately
  - Integrated reporting
  - Listed entities reporting on greenhouse gas emissions and their global energy use in their annual directors' report

- As sustainability reporting evolves, there is a corresponding increase in demand for **assurance engagements**.

Sustainability
Impact on external audit

- The fundamentals of existing auditing and assurance standards may be used as a basis for the sustainability engagement
- The scope, timing and direction of the engagement should be planned to ensure that the procedures will enable the team to gain **sufficient appropriate audit evidence**.
- Consider the need for assistance from an **independent sustainability expert**
- As sustainability information is both qualitative and quantitative, it is challenging to provide reasonable assurance. Therefore, a sustainability engagement will generally provide **limited assurance**

Sustainability
Standards and guidance

- The International Sustainability Standards Board (ISSB) has issued its first two sustainability reporting standards:
  - IFRS S1 *General Requirements for Disclosure of Sustainability-related Financial Information*
  - IFRS S2 *Climate-related Disclosures*

- IAASB Standards used in sustainability assurance engagements:
  - ISAE 3000 (Revised) *Assurance Engagements Other than Audits or Reviews of Historical Financial Information*
  - ISAE 3410 *Assurance Engagements on Greenhouse Gas Statements*
  - ISSA 5000 *General requirements for Sustainability Assurance Engagements*
    - Adopted for use in the UK in November 2025

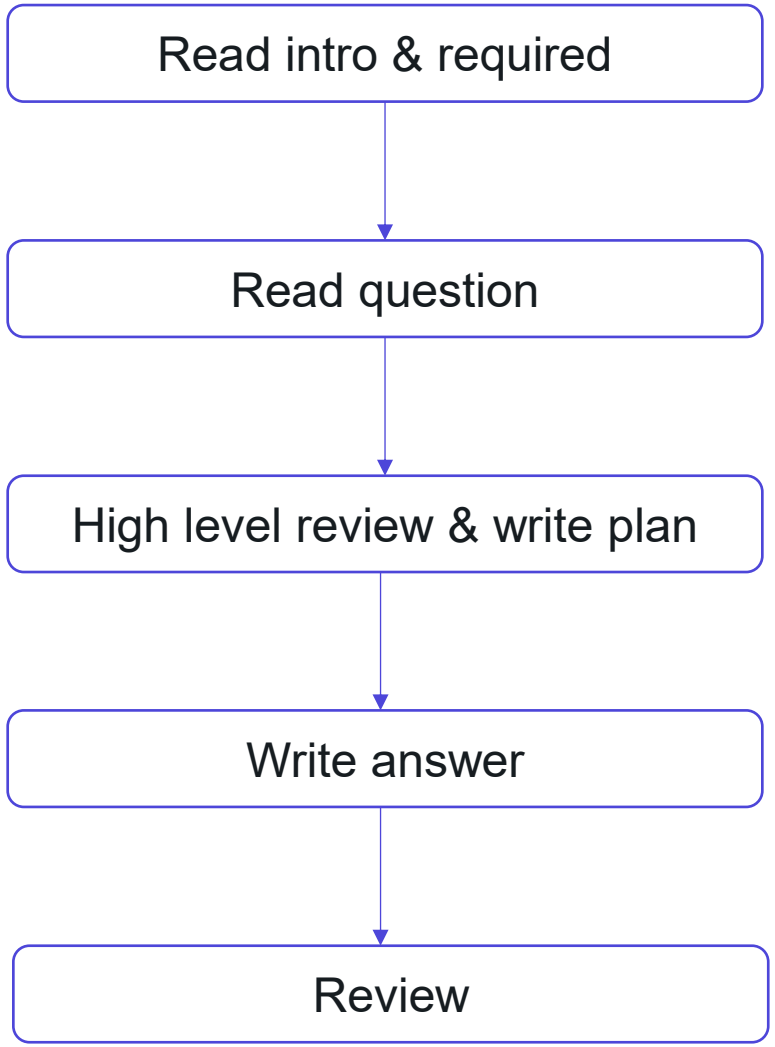
Advanced Assurance

Assessment approach and study techniques

Assessment information

- 3 sections in AA paper
- Each section worth 30-50 marks
- Each section will have between 1 and 5 questions
- Total marks 120
- Assessment duration 2.5 hours
- Permitted materials available to use

Assessment approach



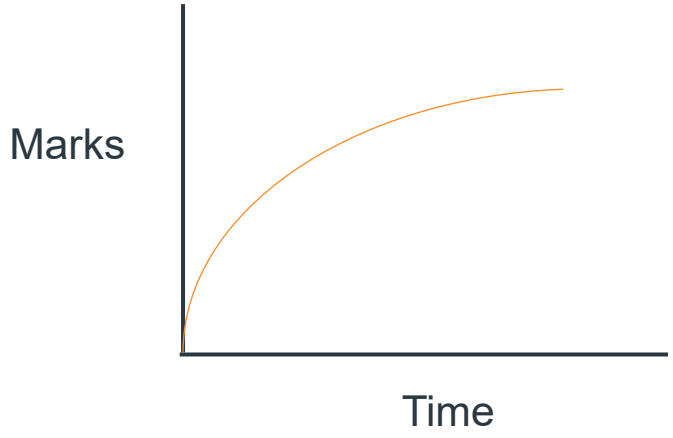
Assessment approach
Timing example

	Marks	Time (min)
Section 1	50	62.5
Section 2	30	37.5
Section 3	40	50
Total	**120**	**150**

	Marks	Time (min)
Section 1	40	50
Section 2	40	50
Section 3	40	50
Total	**120**	**150**

Assessment approach
Timing

- STICK TO THIS TIMING
- Learn to move on, even if not finished
- Diminishing **marginal** marks



Assessment approach
Mark allocation

- 1 mark – for an answer taken from the scenario and related to the question (a fact / a weakness)
- 1 mark – for a basic procedure (enquire / observe) or a procedure from the standards applied to the scenario
- 2 marks – for analysis / evaluation / recommendation / comprehensive procedure

Assessment approach
Presentation

- Each question will be completed separately in ICAS Assessment Platform
- No use of other applications
- Complete table within the question and if the contents are split over different questions, copy and paste full tables into each
- Bullet points/headings

(a) Weakness	(b) Implication	(c) Recommendation

Wrap up

Tips

- **Revisit** any areas where you feel less confident.
- Use the **Stages of the Audit diagram** to consider the steps in the process
- Consider the **assessment approach** for each section
- Attempt **question practice** – skills builders, Zester case studies & assessment style questions.
- Post queries on the **discussion board**.
- Practice using **permitted materials**

Getting help

Skills technical queries

- Class tutors
- Discussion boards

Administrative queries

- students@icas.com

Help Centre within Advantage

- Contains a lot of useful information

Any questions?

